

Eli Lilly and Company (LLY)

Incretin Leadership Supports the Premium - Supply and Price Set the Pace

LLY, NYSE | Health Care | Innovative Pharmaceuticals

OVERWEIGHT

Price (22 Aug 2024):US\$954.17

Price Target (Dec-25):US\$1,100.00

INVESTMENT THESIS

Q2 revenue reached approximately US\$11.3bn as Mounjaro generated US\$3.09bn and Zepbound US\$1.24bn. Non-GAAP EPS rose 86% to US\$3.92, prompting a US\$3bn increase to full-year revenue guidance.

Supply and demand improved and most prior U.S. incretin wholesaler backorders had been fulfilled, although periodic tightness could recur. Longer term, payer access, realized price and clinical differentiation determine how much of the obesity and diabetes opportunity converts into durable profit.

Our US\$1,100 December 2025 target applies 40.7x FY25E non-GAAP EPS of US\$27.00. The premium reflects tirzepatide growth and pipeline breadth, balanced by concentration, supply, policy and valuation risk.

- Q2 reported EPS was US\$3.28 and non-GAAP EPS US\$3.92; worldwide volume increased sharply as incretin availability improved.
- 2024 guidance rose to US\$45.4-US\$46.6bn of revenue and US\$16.10-US\$16.60 of non-GAAP EPS, including IPR&D charges incurred through Q2.
- Our US\$1,100 December 2025 target implies 15.3% price upside. Estimated dividends add 0.8%, for approximately 16.0% total return.

COMPANY OVERVIEW

Lilly develops medicines in diabetes, obesity, oncology, immunology and neuroscience. Mounjaro and Zepbound drive current growth. Manufacturing capacity, payer access, price, safety, regulatory approvals and the next-generation pipeline are the key value drivers.

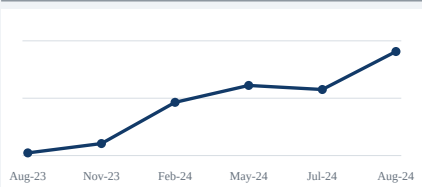
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Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~950.4mm
Market cap	~US\$907bn
52-week range	~US\$517-973
Annual dividend	US\$5.20
2024 revenue guide	US\$45.4-46.6bn
2024 NG EPS guide	US\$16.10-16.60
Q2 gross margin	80.8%
Latest results	Q2 2024

KEY ESTIMATES

US\$bn unless noted	FY22A	FY23A	FY24E	FY25E
Revenue	28.5	34.1	46.0	60.0
Revenue growth	1%	20%	35%	30%
Non-GAAP EPS	~7.9	~6.3	16.35	27.0
Gross margin	~77%	~79%	~81%	~82%
R&D expense	7.2	9.3	~10.5-11.5	~13.0

Q2 2024: TIRZEPATIDE DEMAND CONVERTED INTO A MAJOR GUIDANCE RAISE

The quarter combined strong volume, better product availability and favourable U.S. Mounjaro price comparisons. Wholesaler restocking contributed to sales, so the underlying run rate is below the headline. Even so, the scale of demand and raised production confidence materially improved the outlook.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Revenue	US\$8.31	US\$8.77	US\$11.30	+36%	Volume led
Mounjaro sales	US\$0.98	US\$1.81	US\$3.09	+215%	Global launch
Zepbound sales	-	US\$0.52	US\$1.24	New	Obesity demand
Gross margin	78.3%	80.9%	80.8%	+250bp	Mix and price
Reported EPS	US\$1.95	US\$2.48	US\$3.28	+68%	Strong earnings
Non-GAAP EPS	US\$2.11	US\$2.58	US\$3.92	+86%	Core result
R&D expense	US\$2.35	~US\$2.5	US\$2.71	+15%	Pipeline investment

FORECAST AND EARNINGS FRAMEWORK

Our FY24E estimates sit near the midpoint of raised guidance. FY25E and FY26E assume continued tirzepatide volume growth as new capacity comes online, partly offset by lower net price and continued R&D. We do not assign full value to unapproved pipeline assets.

US\$bn unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	28.5	34.1	46.0	60.0	73.0
Revenue growth	1%	20%	35%	30%	22%
Gross margin	~77%	~79%	~81%	~82%	~83%
Non-GAAP EPS	~7.9	~6.3	16.35	27.00	36.00
EPS growth	-	-	>100%	65%	33%
Mounjaro sales	0.5	5.2	~11-12	~18	~24
Zepbound sales	-	0.18	~4.5-5.0	~9	~13
R&D expense	7.2	9.3	~10.5-11.5	~13.0	~15.0
Dividend / share	3.92	4.52	5.20	5.80	6.50

CHANNEL STOCKING HELPS, BUT CAPACITY IS STILL THE GATE

Q2 benefited as wholesalers rebuilt inventory after shortages. That effect should not be annualized. The durable thesis rests on production growth, patient access and persistence. Acquired IPR&D is economically real even when excluded from adjusted EPS and remains part of the capital-allocation risk.

GROWTH DRIVERS: TIRZEPATIDE SCALE, MANUFACTURING AND PIPELINE BREADTH

The obesity and diabetes markets can expand through diagnosis, reimbursement, manufacturing and better medicines. Lilly leads on demand, but the valuation requires strong execution across all four dimensions.

Driver	Q2/23	Q2/24	FY25E	FY26E	Investment implication
Mounjaro	US\$0.98bn	US\$3.09bn	~US\$18bn	~US\$24bn	Core engine
Zepbound	-	US\$1.24bn	~US\$9bn	~US\$13bn	Obesity growth
Manufacturing	Constrained	Improving	Ramp	Ramp	Supply unloc
Gross margin	78.3%	80.8%	~82%	~83%	Mix benefit
Non-GAAP EPS	US\$2.11 Q2	US\$3.92 Q2	US\$27	US\$36	Operating leverage
Pipeline	Early assets	Multiple readouts	De-risk	Potential filings	Optionality

TIRZEPATIDE VOLUME AND ACCESS

Mounjaro and Zepbound are expanding rapidly from a constrained base. Volume, adherence and outcomes must outweigh payer negotiations and future price pressure.

MANUFACTURING EXPANSION

New capacity can unlock demand and improve availability, but pharmaceutical manufacturing ramps carry timing and quality risks. Q2 confidence improved without eliminating the constraint.

PIPELINE AND POLICY

Oral incretins, next-generation injectables and non-incretin assets can diversify growth. Clinical, safety, pricing and reimbursement outcomes remain uncertain and are only partly reflected in our base case.

VALUATION AND PRICE TARGET

Our December 2025 target is US\$1,100. The primary framework applies 40.7x to our FY25E non-GAAP EPS of US\$27.00. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	40.7x FY25E US\$27.00	US\$1,099	Exceptional growth
Cash-flow model	30%	8.5% WACC; risk-adjusted pipeline	US\$1,056	Cash conversion
Peer check	20%	Large-cap pharma growth peers	US\$1,169	Relative valuation
Weighted target	100%		US\$1,100	Rounded target

VALUATION SENSITIVITY

FY25E EPS / P-E	32.0x	36.0x	40.0x	44.0x	48.0x
US\$22.95	US\$734	US\$826	US\$918	US\$1,010	US\$1,102
US\$25.65	US\$821	US\$923	US\$1,026	US\$1,129	US\$1,231
US\$27.00	US\$864	US\$972	US\$1,080	US\$1,188	US\$1,296
US\$28.35	US\$907	US\$1,021	US\$1,134	US\$1,247	US\$1,361

At US\$954.17, the shares trade at 35.3x our FY25E non-GAAP EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Capacity unlocks; access broadens; pipeline succeeds	US\$1,342
Base	55%	Volume offsets price; manufacturing ramps	US\$1,100
Bear	20%	Supply or policy setback; multiple contracts	US\$748

The probability-weighted scenario value is US\$1,090. Our US\$1,100 target implies 15.3% price appreciation and approximately 16.0% total return including estimated dividends through December 2025. We rate LLY Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Manufacturing expands faster and removes supply constraints.
- Payer access broadens while patient persistence remains strong.
- Pipeline assets show differentiated efficacy and tolerability.
- Non-incretin products grow faster than expected.

DOWNSIDE RISKS

- Novo Nordisk or new entrants compress price or share.
- Manufacturing or quality issues limit product availability.
- Safety, regulatory or clinical setbacks narrow the opportunity.
- Policy changes materially reduce obesity-drug net pricing.

METHODOLOGY AND SOURCE NOTES

1. Eli Lilly Q2 2024 results dated 8 August 2024: <https://investor.lilly.com/news-releases/news-release-details/lilly-reports-q2-2024-financial-results-raises-full-year-revenue>
2. Eli Lilly 2023 Form 10-K filed 21 February 2024 and Q2 Form 10-Q filed 8 August 2024: <https://www.sec.gov/Archives/edgar/data/59478/000005947824000065/lly-20231231.htm> and <https://www.sec.gov/Archives/edgar/data/59478/000005947824000187/lly-20240630.htm>
3. Market data: LLY raw close of US\$954.17 on 22 August 2024 from date-bounded Yahoo Finance chart data: <https://query2.finance.yahoo.com/v8/finance/chart/LLY?period1=1692748800&period2=1724371200&interval=1d&events=history>
4. All forecasts, non-GAAP estimates, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Eli Lilly, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.